

notice the pattern until now. Yes, the diamond top looks weird, but that's typical of diamond patterns.

On July 17, I thought I had placed a stop but didn't, so I put a volatility stop at 58.60. The volatility stop takes the stock's volatility into account before telling you where the stop should be located.

On July 26, the Dow industrials dropped 311 points and sucked the stock down with it, snagging my stop-loss order. The stock sold at 58.60, and I lost 3% on the trade.

The stock busted the downward breakout, then busted the upward one and continued to bust the triple top at least 6 times on this chart. In June 2008, the stock finally dropped out of its trading range and plunged, pulled down by the bear market and falling to 23.24, a drop of 60% below my sale price. Thank goodness I sold when I did.

- Lesson: Even busted trades fail.

Sample Trade

Danielle is in charge of the family finances. To boost the return on their savings, she has taken to playing the stock market. Her first few trades were tentative but profitable. That gave her enough courage to undertake the trade featured in [Figure 68.6](#).